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Story by COVERS

March Madness Betting Projected to Hit Record of $4B, Even Without Prediction Markets

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The dollar amount of betting on this year's edition of March Madness is forecast to hit an all-time high at U.S. sportsbooks. If you add the wagering done via prediction markets, the projections get even loftier.

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Key Takeaways

- U.S. sportsbooks are projected to take about $4 billion in bets on the 2026 NCAA college basketball tournaments, approximately 6.7% higher than last year's $3.7 billion.

- Including prediction markets could push total March Madness wagering close to $4.5 billion.

- Prediction markets are expanding rapidly but are facing legal challenges from state gambling regulators who argue they are illegal gambling.

Betting and gaming consultancy H2 Gambling Capital projects that there will be approximately $4 billion in March Madness sportsbook handle this year, according to a report provided to *Covers*.

That handle includes both the men's and women's NCAA basketball tournaments and would be up around 6.7% from the $3.7 billion in estimated wagering in 2025.

In other words, H2 projects U.S. sportsbooks will see record betting on March Madness odds this year.

> *"H2 estimates 2026's event to grow on the record levels seen in the prior tournament as a result of continued handle growth across U.S. states, coupled with the launch of Missouri betting market in December," the research firm said in its report, which is being released this week.*

March Madness is one of the busiest times of year for in-person and online sports betting sites in the U.S. While the Super Bowl is the undisputed king of single games, March Madness is "the most bet on event in the U.S. sporting calendar," H2 notes.

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The American Gaming Association forecast last year that U.S. residents would legally wager $3.1 billion on both the men's and women's college basketball tournaments, up from $2.7 billion the previous year. To compare, the AGA estimated there would be $1.76 billion in legal wagering on this year's Super Bowl.

Calling all casuals

Data provided to *Covers* by Juice Reel – an app sports bettors can use to track their plays, and that offers analytics and the ability to tail other bettors – highlights the popularity of tournament time.

Last year's March Madness saw an average bet size by Juice Reel users (who are a step above casual bettors) of $36.50. The median player handle per player during the tournament's 22-day stretch was $5,127, the company said. This is based only on the bets tracked by Juice Reel using books that are synced up with the app.

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For the 22 days leading up to March Madness, Juice Reel's average bet size tracked was $43.27, and the median player handle was $5,042.

Twelve percent of the people who bet on March Madness didn't make any bets in the pre-tournament period, Juice Reel said, which helps explain the higher bet size during that time, as more casual bettors may only show up for the big events.

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At any rate, March Madness is a crucial time for sportsbooks to acquire new customers and reactivate old ones. The steady stream of games then provides ample opportunity for bettors to get down on the event multiple times in multiple ways.

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The overall amount of March Madness wagering that's estimated to happen grows even larger when accounting for the betting that will be facilitated by federally regulated prediction markets.

H2 projects around $530 million in what would be the prediction market equivalent of sportsbook handle for March Madness 2026. That would be up massively from the $16

million or so estimated for last year's tournament, and push overall wagering estimated for the event toward $4.5 billion.

There is a difference between prediction market volume and sportsbook handle. Volume counts both sides of the bet, the person making it and the person taking it; someone buying a “yes” contract for 20 cents would count as a full dollar of volume, for instance. Handle is just what’s bet by the bettor; a $50 moneyline bet would count as $50 in handle.

H2’s projections are for a prediction market version of handle, not volume. And, as noted above, those figures suggest a lot more wagering on March Madness odds using prediction markets.

Prediction markets, such as Kalshi, were still in the early innings of their efforts to offer sports-related event contracts for last year’s tournament. Now, they are much more entrenched in that business and offer a wider variety of betting opportunities.

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As of Monday morning, Kalshi was reporting more than $42 million in volume for its "Men's College Basketball Champion" market. When last year's tournament concluded, there had been $75.4 million in volume, which suggests there is a lot more wagering to come for the 2026 edition.

The legality of sports event contracts offered by prediction markets is being challenged by state gambling regulators all over the U.S. at the moment. However, given that those lawsuits will take much more time to play out, the contracts will still be widely available and used by bettors for March Madness this year. They’ll also be available in both states with and without legalized sports betting.

Predicting the unpredictable

Prediction markets have been targeted by state gambling regulators who see what the exchanges are offering as gambling that skirts state-level licensing, oversight, and